



Employee Stock Option Plan (ESOP) Policy – Urban & Economic Management Research Institute

Effective Date: 25/07/2025

Scope of Application: All full-time employees with at least 12 months of continuous service.

1. Purpose

The ESOP (Employee Stock Option Plan) aims to:

- Align employees' long-term interests with the company's growth.
 - Motivate and retain key personnel.
 - Share financial success during company growth, IPO, or acquisition.
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2. Definitions

- **Option:** The right (not obligation) to purchase a set number of company shares at a fixed price (strike price).
 - **Strike Price:** The fixed price at which shares can be purchased, set at the time of granting and unchanged until exercised.
 - **Vesting Period:** The time employees must work for options to become exercisable.
 - **Exercise:** The act of purchasing shares by exercising options.
 - **Liquidity Event:** Events like IPO or M&A, enabling shares to be sold on the market.
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3. ESOP Grant and Exercise Process

Step 1: Eligibility Determination

- Full-time employees with ≥ 12 months of service.
- Performance evaluation at "Meets Expectations" or higher.

Step 2: Granting Options

- Board of Directors approves the list and number of options granted.
- Written notification to employees, specifying: quantity, strike price, vesting schedule.

Step 3: Vesting Period

- Standard schedule: 25% after the first 12 months (cliff vesting), with the remainder vesting monthly over the next 36 months.

Step 4: Exercising Options

- Employees submit a request to exercise options.
- $\text{Payment} = \text{Number of shares} \times \text{Strike Price}$.

Step 5: Liquidity

- During an IPO or M&A, employees may sell shares on the market or to designated investors.
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4. Illustrative Example

Details:

- Options granted: 5,000
- Strike Price: 50,000 VND/share
- IPO Price: 200,000 VND/share

Calculation:

- Cost to exercise = $5,000 \times 50,000 = 250,000,000$ VND
 - Market value = $5,000 \times 200,000 = 1,000,000,000$ VND
 - Gross profit = 750,000,000 VND (before 20% personal income tax on the profit).
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5. Legal and Tax Notes

- Based on the Enterprise Law 2020 and Securities Law 2019.
 - ESOP profits are subject to 20% personal income tax on the difference between the sale price and strike price.
 - The company reserves the right to modify or cancel ESOP for employees with serious disciplinary violations.
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6. Frequently Asked Questions (FAQ)

Q: What happens if I resign before vesting?

A: Unvested shares are canceled.

Q: Can I sell options before an IPO?

A: No, shares can only be sold after exercising options and during a valid liquidity event.

Q: Is ESOP guaranteed to be profitable?

A: No, value depends on company performance and valuation.

7. Illustrative Scenarios

Scenario 1 – Successful IPO: Share price increases 5x, yielding significant profits for employees.

Scenario 2 – Valuation Decline: Market price < strike price, employees may choose not to exercise to avoid losses.

Sample Vesting Schedule

TIME	% OPTIONS VESTED	NUMBER OF SHARES VESTED
12 MONTHS	25%	1,250
24 MONTHS	50%	2,500
36 MONTHS	75%	3,750
48 MONTHS	100%	5,000